

No. 03-17-00812-cv

**In the Court of Appeals
for the Third Judicial District
Austin, Texas**

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AHMAD ZAATARI, MARWA ZAATARI, JENNIFER GIBSON HERBERT,
JOSEPH “MIKE” HERBERT, LINDSAY REDWINE,
RAS REDWINE VI, AND TIM KLITCH,

Plaintiffs-Appellants / Cross-Appellees,

and

THE STATE OF TEXAS,

Intervenor-Plaintiff Cross-Appellant,

v.

CITY OF AUSTIN, TEXAS AND STEVE ADLER,
MAYOR OF THE CITY OF AUSTIN,

Defendants-Appellees / Cross-Appellants.

On Appeal from the
53rd Judicial District Court, Travis County

APPELLANT THE STATE OF TEXAS’S RESPONSE BRIEF

ORAL ARGUMENT REQUESTED

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TO THE HONORABLE THIRD COURT OF APPEALS:

When the City enacted the Ordinance—which bans so-called Type 2 short-term rentals as of 2022—it deprived many Austinites of their long-held right to lease their property to others on a short-term basis. The day the Ordinance passed, their property was immediately less valuable, and the useful life of any short-term renting investments they made was drastically shortened. All this without reason. There is no basis for banning Type-2 rentals when the properties remain residential and the record before the City Council affirmatively demonstrates that these properties do not harm the public interest.

The City disagrees, of course. But it leaves undisputed many of the core pieces of the State’s case. It does not dispute that the right to lease one’s property on a short-term basis is a long-standing property right in Texas. It does not dispute that this right creates value for owners in the form of profits. And it does not dispute that its own study proves that short-term rental guests are, at worst, materially indistinguishable from their long-term residential neighbors.

Nevertheless, the City attacks this Court’s jurisdiction. It attempts to argue that if there is no jurisdiction over the individual plaintiffs’ claims, there is no jurisdiction over the State’s claims. But the State is a separate party, with its own claims, and its own justiciable interest in the suit, so this Court must address the justiciability of the State’s claims separately. And there is plainly jurisdiction over the State’s claims. The City’s main arguments to the contrary are that the State lacks a justiciable interest, that this Court lacks *civil* jurisdiction, and that the State’s claims are not yet

ripe. But none of this is correct. The State has an inherent and legislatively recognized justiciable interest in ensuring that cities follow the Texas Constitution; this Court has civil jurisdiction not only because the Ordinance can be enforced civilly, but because many Austinites have a vested interest in their right to lease; and the State's claims are ripe because Austinites were injured as soon as the Ordinance was enacted.

The City's arguments on the merits are even weaker. By attempting to justify the Ordinance using anecdotes and amorphous "concerns" that contradict the City's own study and data demonstrating that short-term rentals do not harm the public interest, the City confirms that there is, in fact, no underlying public-interest rationale. Instead, the Ordinance is meant to benefit private parties, such as residents who want to keep home values low, and hotels. Without a valid public purpose, the law cannot overcome the "strong presumption" against retroactivity and is not a valid taking under the Texas constitution.

ARGUMENT

I. This Court Has Jurisdiction Over the State's Claims.

Although scattered throughout the City's brief and often confused with merits issues, the brunt of the City's arguments with respect to the State are jurisdictional. The City appears to be making three main arguments for why this Court lacks jurisdiction over the State's claims: because it lacks jurisdiction over the individual plaintiffs' claims (City of Austin Response Br. 49 (hereinafter, "Br.")); because the Ordinance is a penal law (Br. 35) that does not impair any vested right (Br. 35, 50), and because no injury has yet occurred (Br. 50-53).¹ None of these arguments has any merit.

A. Jurisdiction over the State's claims must be assessed separately because the State is a separate party, with separate claims, and a separate and distinct justiciable interest in this case.

The City argues that "the justiciability of Texas' [claims] rise and fall with Plaintiffs' ability to articulate and substantiate a cognizable constitutional injury." Br. 49. This is incorrect. Because the State is a proper intervenor with a separate justiciable interest in this case, this Court has jurisdiction over the State's claims, regardless whether it has jurisdiction over the individual plaintiffs' claims.

It is black-letter law that the State has a justiciable interest—separate and apart from the interests of either party—in litigation over whether a local ordinance violates the Texas Constitution. As the State explained in its opening brief, the State's

¹ The City raises governmental immunity with regard to individual plaintiffs' claims. *See* Br. 31-34. To the extent the City is attempting to raise the same argument against the State, the UDJA plainly waives any immunity for challenges to the validity of ordinances and statutes. *See Tex. Dep't of Transp. v. Sefzik*, 355 S.W.3d 618, 622 (Tex. 2011) (per curiam).

“justiciable ‘interest’ in its sovereign capacity in the maintenance and operation of its municipal corporations in accordance with law does not admit of serious doubt.” *Yett v. Cook*, 281 S.W. 837, 843 (Tex. 1926) (cited at State Br. 14). And the Legislature is in accord. By creating an “entitle[ment]” for the State “to be heard” “[i]n any proceeding that involves the validity of a municipal ordinance . . . alleged to be unconstitutional,” Tex. Civ. Prac. & Rem. Code § 37.006(b), the Legislature recognized that the State has a unique and justiciable interest in ensuring that laws satisfying the Texas Constitution are upheld and that laws violating the Texas Constitution are struck down.²

This established law—with which the City simply does not engage—permits the State to become a separate party to the litigation through intervention. *See, e.g., Tex. Dep’t of Transp. v. Sefzik*, 355 S.W.3d 618, 622 & n.3 (Tex. 2011) (per curiam) (recognizing that “the state may be a proper party to a declaratory judgment action that challenges the validity of a statute”); *City of Austin v. Travis Cent. Appraisal Dist.*, 506 S.W.3d 607, 612 n.3 (Tex. App.—Austin 2016, no pet.). And as an intervenor, the State need not simply parrot the plaintiff’s claims. *See Reata Constr. Corp. v. City of Dallas*, 197 S.W.3d 371, 373 (Tex. 2006) (recognizing that an intervenor can bring separate claims); *Acton Corp. v. Sabinske*, No. 05-91-01720-CV, 1995 WL 479671, at *9 (Tex. App.—Dallas Aug. 9, 1995, writ denied) (not designated for publication) (holding intervenor could assert request for declaratory relief separate from original

² The State pleaded these interests in its live complaint. *See, e.g.,* 1.CR.593 (“Texas, through the Attorney General, has a duty to uphold and enforce the constitution against the City when it acts in violation of the law.”); *id.* (citing *Yett v. Cook* and Tex. Civ. Prac. & Rem. Code § 37.006(b)).

plaintiff). Rather, as a full-party to the litigation, the State could—and did—raise additional claims regarding the unconstitutionality of the Ordinance, which must be treated separately.

B. The City’s mere assertion that the Ordinance is penal, and thus outside this Court’s civil jurisdiction, does not make it so.

The City contends that the Ordinance is “indisputably penal” because “it threatens denial of licenses, license suspension, and monetary sanctions for non-compliance.” Br. 35. This gets it exactly backwards. Courts have long-understood license denials and suspensions to be civil issues subject to civil jurisdiction. *See, e.g., Lindsey v. Tex. State Bd. of Veterinary Med. Exam’rs*, Nos. 03-16-00549-CV & 03-17-00513-CV, 2018 WL 1976577, at *5 (Tex. App.—Austin Apr. 27, 2018, no pet.) (mem. op.) (declaratory judgment action where plaintiff asserted that a state entity lacked authority to discipline her by suspending her license); *see also Jernigan v. State*, 313 S.W.2d 309, 310 (Tex. Crim. App. 1958) (recognizing that license cancellation enforceable through administrative process was civil in nature).

Moreover, the City cannot walk back its statements to short-term rental owners that, once they receive a notice of violation, “the Austin City Code prohibits the sale, lease, or transfer of th[eir] property.” 5.CR.360. These are unambiguously civil remedies, *see State Br. 17-18* (explaining that these remedies are civil and citing cases), and the City does not even attempt an argument to the contrary.

The fact is, even if the Ordinance *can* be enforced through criminal penalties, the City may also enforce it by imposing civil remedies, such as loss of property rights and licensing. This brings the Ordinance within the Court’s civil jurisdiction. *See*

City of Dallas v. Brewster, No. 05-00-00335-CV, 2000 WL 1716508, at *4 (Tex. App.—Dallas Nov. 17 2000, no pet.) (mem. op.) (not designated for publication).

C. Even if the Ordinance were penal, this Court has jurisdiction because the Ordinance implicates a vested property right, not simply a license.

The City also asserts that this Court lacks civil jurisdiction because “no plaintiff established an impaired vested property right.” Br. 50 (capitalization altered); *see also* Br. 35. But the State does not have to demonstrate that any *individual plaintiff* has a vested property right, because it does not represent the individual plaintiffs. The State need only establish that the Ordinance implicates *some* Austinites’ vested property rights. And it did so in its opening brief by demonstrating that the right to lease is an exceedingly well-established right in Texas, *see* State Br. 2-5, 19-22; *see also* 1.CR.796 (City admitting that short-term renting was an “established practice”), and that many Austinites exercised and invested in this right before the City began to regulate, *see* State Br. 2-5.

On top of that, the individual plaintiffs and those similarly situated to them do have a vested property right. The City disagrees because, in its view, those who began leasing only after the City “adopted its annual licensing regime” “have no entitlement to operate their residential properties as short-term rentals.” Br. 35, 50. But this confuses the property right at issue. The relevant right is not the license; it is the underlying right to lease one’s property as one sees fit. Once an owner invests in, or begins using, her property for short-term renting, her *underlying* right to lease vests because the right “has some definitive, rather than merely potential existence.” *City*

of *New Braunfels v. Stop The Ordinances Please*, 520 S.W.3d 208, 214 (Tex. App.—Austin 2017, pet. filed). It is irrelevant that the owner did not obtain a right in the license itself. That is why the City’s reliance on *Texas Education Agency v. American Youthworks, Inc.*, 496 S.W.3d 244 (Tex. App.—Austin 2016, pet. granted) (cited at Br. 50), is misplaced—in that case, there was no *underlying* property right apart from the license. *Id.* at 260-61.³

To be sure, the fact that there is an underlying right here does not mean that the City cannot engage in reasonable licensing practices. It simply means that the City’s licensing regime cannot prevent an owner’s underlying property right from vesting such that he is deprived of judicial review when that right—not simply the license—is destroyed.

D. The State’s claims are ripe.

The City argues that the State’s claims are not ripe “because Plaintiffs may continue to operate their short-term rental properties for several years.” Br. 50; *see also* Br. 51-53. According to the City, this temporary ability to continue leasing means that owners cannot yet “establish any actual economic injury.” Br. 51; *see also* Br. 25. Not so.

1. As the State explained in its opening brief, the Ordinance immediately harmed property values and investments in short-term rentals. State Br. 15-17. It is rudimentary economics that eliminating a stick from the bundle of rights associated with a

³ Rather than discuss *American Youthwork*’s holding, the City discusses the Court’s (correct) statement that “an untenured professor would have no claim of entitlement to re-employment after his one-year employment contract expired by its own terms.” 496 S.W.3d at 260-61. But again, in this example there is no *underlying* fundamental property right.

property makes that property less valuable. And that link is especially obvious where, as here, the evidence demonstrates that the eliminated right made the property *more profitable*. See State Br. 32-33 (recounting evidence that average short-term rental income is higher than average long-term rental income, and citing 5.CR.995, 987-88, 1005-06, 1009). Indeed, despite half-heartedly asserting that “short-term rental activities do not affect the underlying value of . . . real estate,” Br. 48, the City’s justification for the Ordinance concedes the opposite—namely, that short-term renting increases property values, see Br. 8 (asserting that short-term rental properties “impact[] affordability in neighborhoods” and that there is a “financial incentive[]” to purchase land, rebuild, and operate a short-term rental).

Courts have recognized this link between a property’s profit potential and its market value. Faced with a challenge to a ban on a profitable use of property, one federal court held that the challenge was ripe for adjudication despite a “grace period” because as soon as the ban became law, “the present value of the [property] was reduced accordingly.” *Nat’l Advert. Co. v. City of Raleigh*, 947 F.2d 1158, 1160, 1163 (4th Cir. 1991). Tellingly, the City does not even attempt to distinguish *National Advertising Company*. And if the link between profitable short-term renting and higher property values were not plain enough, the plaintiffs in *Village of Tiki Island v. Ronquille* employed a belt-and-suspenders approach and established it with evidence. 463 S.W.3d 562, 578 (Tex. App.—Houston [1st Dist.] 2015, no pet.). The City attempts to distinguish *Village of Tiki Island*—noting, for example, the lack of an amortization period (Br. 46-47)—but none of these distinctions undercut the relationship between a ban on short-term rentals and property values.

2. The City retreats to numerous “ripeness” arguments that have no bearing whatsoever on ripeness. It spends two full pages arguing that the individual plaintiffs’ claims—and therefore, according to the City, the State’s claims—are not ripe because “Plaintiffs did not precisely quantify their investments in the properties.” Br. 27. This misses the focus of ripeness doctrine: “whether a dispute has yet matured to a point that warrants decision.” *Perry v. Del Rio*, 66 S.W.3d 239, 249-52 (Tex. 2001). Questions of the extent of harm do not affect the maturity of this dispute, because there is certainly *some* harm and the State seeks declaratory and injunctive relief. The City also argues that individual plaintiffs did not “allege or prove that the amortization period does not provide them with sufficient time to recoup their investments.” Br. 27. But whether the amortization provides sufficient time to recover an investment and avoid a taking is a merits issue, *see Lubbock Poster Co. v. City of Lubbock*, 569 S.W.2d 935, 943-44 (Tex. Civ. App.—Amarillo 1978, writ ref’d n.r.e.), not a ripeness issue.

The City also asserts that the State’s claims are “dependent on [the] future” because individuals “might not own their properties” or may have otherwise lost their license by the time the ban takes effect. Br. 52. Maybe so, but irrelevant. Because the Ordinance lowered property values and shortened investment lives the day it was passed, the harm to Austin property owners has already occurred and is ripe for review, regardless of what may happen in the future. *See Tex. Bd. of Chiropractic Exam’rs v. Tex. Med. Ass’n*, 270 S.W.3d 777, 781 (Tex. App.—Austin 2008, no pet.) (claim is ripe when “there is nothing ‘hypothetical’ or ‘abstract’ about the [State’s] claims”).

The City’s additional ripeness arguments are no closer to the mark. The City asserts that there is no harm because “real estate in Austin is an extremely hot commodity,” Br. 48, as if a bullish market could alter the fact that the property would be even *more* valuable if it could be used for short-term renting. It then asserts that individuals “may have already recouped the value of their investments.” Br. 48. Again, that does not change the fact that owners have lost a valuable right that made their property more valuable.

II. The City’s Brief Confirms That the Ordinance Does Not Advance the Public Interest.

In its opening brief, the State meticulously demonstrated that the legislative record is bereft of any problem with Type 2 short-term rentals. The State explained that in the four years preceding the Ordinance, the City did not issue a single citation “to a licensed short-term rental owner or guest for violating the City’s noise, trash, or parking ordinances,” and issued notices of violations—not *citations*, which occur only after a violation is substantiated—to licensed short-term rentals only 10 times. State Br. 24 (citing record). The State also recounted that the City’s own study showed that “short-term rental properties have significantly *fewer* 311 calls . . . than other single family properties.” 2.CR.192 (emphasis added) (quoted at State Br. 25). In short, the evidence plainly demonstrates that short-term rentals—particularly, licensed short-term rentals—do not pose any threat to the public interest that is unique in character or extent from other residential housing.

The City in response argues that the Ordinance addresses (1) public-health concerns, (2) general-welfare concerns, (3) public-safety concerns, and (4) concerns

about historic Austin neighborhoods. But the City’s argument relies almost exclusively on *unsubstantiated allegations* of short-term rental wrongdoing that are *divorced from any comparison to other residential properties*. These allegations are meaningless because they conflict with objective data before the City Council demonstrating that short-term rentals are no more of a nuisance to the public than their neighbors. *See Spann v. City of Dallas*, 235 S.W. 513, 516 (Tex. 1921) (“It is a doctrine not to be tolerated in this country that either State or municipal authorities can by their mere declaration make a particular use of property a nuisance which is not so, and subject it to the ban of absolute prohibition.”).

A. Banning short-term rentals does not promote public health.

The City asserts that the Ordinance promotes public health because, “[f]rom the outset, concerns were brought forward about short-term rental properties that were poorly maintained, that had code violations, and that generated police and fire reports.” Br. 4 (citing 3.CR.11838-39). But this misunderstands the record. While “concerns” were certainly raised, the person who raised them recognized explicitly that there was evidence “in diametric opposition” and that a study was needed to determine whether these concerns were legitimate. 3.CR.11838-41. Those studies later proved initial concerns wrong by demonstrating that licensed short-term rentals rarely receive complaints or citations. *See State Br. 24-25*.

The City is also incorrect that the Ordinance promotes public health because “[c]itizens and officials . . . raised concerns regarding short-term rental ‘bad actors’ where tenants dumped trash in the neighborhood and engaged in public urination.” Br. 6. These concerns are based on anecdotal and unconfirmed allegations—mostly

in the form of 311 complaints and public testimony⁴—that carry no weight in light of the objective evidence. Concerns about tenants dumping trash, for example, cannot stand against evidence that the City issued no citations to short-term rentals for violating trash ordinances. 2.CR.199-495; 4.CR.1018-2414. And more broadly, evidence of 311 complaints against short-term rentals is meaningless given the City’s comprehensive study establishing that short-term rental properties were *equally* or *less* likely to be the subject of a complaint. 2.CR.192; 2.CR.1774.

The only potential public health issue the City can point to that is connected to short-term renting is the possible failure of septic systems due to overuse. *See* Br. 6 (citing 3.CR.1367-74). The record demonstrates, however, that the risk of septic problems is already remedied by requiring licensees to ensure that their septic systems are adequate for short-term renting. Ordinance § 25-2-791(c)(6); 2.CR.502.

B. Banning short-term rentals promotes neither public safety nor the general welfare.

The City claims that “[n]umerous City residents complained about noise, loud music, vulgarity, and other negative impacts of having a ‘party house’ short-term rental in the neighborhood.” Br. 7. But as with the uncorroborated and contradicted complaints about public health, there is no evidence that these complaints have any basis in fact. To the contrary, the City has not initiated a single proceeding to remove

⁴ *See* Br. 6 (citing 3.CR.703, 710, 712, 719, 1585, 1590, 1663 (records of complaints—*i.e.* unconfirmed allegations—not citations); 3.CR.490-92 (aggregation of complaints, not citations); 3.CR.6008, 6303, 6728 (uncorroborated testimony from the public); 3.CR.355, 527 (not addressing so-called “bad actors”); 3.CR.1411 (uncorroborated statement as part of petition); 3.CR.10983 (City resolution)).

a property owner’s short-term rental license for multiple party complaints, 4.CR.35—something it surely would (and should) have done if any licensed short-term rental were in fact a so-called “party house.” Indeed, the City had to concede that it had no idea whether these purported party houses exist. 3.CR.2179.

And the City’s argument regarding safety, *see* Br. 6, is no different. It too is based on a few unconfirmed anecdotes that are unconnected to any licensed short-term rental and that concern issues that are by no means limited to short-term rentals.

C. There is no cognizable effect on Austin neighborhoods.

Under the broad heading of purported “[n]egative impacts on historic Austin neighborhoods,” the City argues that short-term rentals alter the character of the neighborhood, cause neighbors to “lose their quality of life,” and raise prices for “long-term residents.” Br. 7-8. But even assuming so, none of these is a valid basis on which to ban short-term rentals. The City’s argument that banning short-term rentals will help keep prices low for long-term residents cannot support the Ordinance, because this is, at base, a private interest—a transfer of wealth from one private person to another. As the State’s opening brief explained—and the City nowhere contests—an intent to help *private* parties by depressing property values can justify neither a taking, *see* State Br. 31, 38-39 (citing Tex. Const. art. I, § 17, *Hawaii Hous. Auth. v. Midkiff*, 467 U.S. 229, 245 (1984); *Marrs v. R.R. Comm’n*, 177 S.W.2d 941, 949 (Tex. 1944)), nor a retroactive law, *see Robinson v. Crown Cork & Seal Co.*, 335 S.W.3d 126, 158 (Tex. 2010) (retroactive law must advance a “compelling *public* interest”).

Preventing short-term rentals in a neighborhood in order to avoid disrupting the so-called character of the neighborhood is also an invalid basis for the law. To the extent preserving the “character” of neighborhoods simply means keeping out-of-towners out of those neighborhoods, *see* Br. 7 (referring to concerns about “strangers” staying in the neighborhood), that is a plainly unconstitutional basis for the Ordinance. *See Saenz v. Roe*, 526 U.S. 489, 502 (1999) (Privileges and Immunities Clause forbids discrimination on basis of residence).

The broader rationale that short-term rentals undermine a “consistent plan of zoning” and destroy neighborhood character by allowing residences effectively to function as hotels fares no better. Br. 34; *see also* Br. 41. A short-term rental is not a hotel—it is a residence—as the City’s laws make abundantly clear. *See* Austin, Tex. Code of Ordinances § 25-2-4(B); 1.CR.795; *see also* State Br. 26. And the fact that short-term rentals pay hotel taxes, *see* Tex. Tax Code § 156.001(b) (cited at Br. 30), does not change this fact, because the properties themselves are still used for residential purposes of eating, sleeping, and otherwise living. *See Tarr v. Timberwood Park Owners Ass’n, Inc.*, No. 16-1005, 2018 WL 2372594, at *11 (Tex. May 25, 2018) (property used for short-term renting was residential despite owner paying hotel taxes and forming an LLC to manage the property); *see also* Br. 26. Indeed, the residential character of the properties is the very reason why so many guests are attracted to short-term rentals instead of hotels.

III. The Ordinance Is Both Unconstitutionally Retroactive and an Unconstitutional Taking.

A. The City cannot overcome the “heavy presumption against retroactive laws.”

The Texas Constitution “protects settled expectations” by imposing a “heavy presumption against retroactive laws” that can only be “overcome” through proof of a “compelling public interest.” *Robinson*, 335 S.W.3d at 145-46. This Court must examine three factors to determine whether a retroactive law overcomes this presumption: (1) “the nature and strength of the public interest served by the statute as evidenced by the [legislative record],” (2) “the nature of the prior right impaired by the [Ordinance],” and (3) “the extent of the impairment.” *Id.* at 145. This is the standard that applies to the State’s retroactivity claim—not the *Patel* standard or any other less stringent standard.

Applying this test, the Ordinance is unconstitutional. The legislative record does not demonstrate a “compelling public interest.” Rather, as explained above, the legislative record affirmatively demonstrates that the Ordinance does not advance the public interest in the least bit. Despite “concerns” about adverse health, safety, and the general welfare based on allegations and anecdotes, the record before the City Council established that short-term rentals do not present any distinct threat to the public interest because they are materially indistinguishable from their neighbors. *See supra* at 10. This alone should end the inquiry.

But even if the Ordinance advanced the public interest, it would still be unconstitutionally retroactive because that interest would be significantly outweighed by the substantial impairment to the property owners’ well-settled leasing expectations.

The City attempts to escape this by arguing that individual plaintiffs have no “vested property right.” Br. 50.⁵ That is wrong on its own terms. *See supra* at 6-7. But, in any event, under *Robinson* the question is not whether the right was “vested,” but the extent to which the right was “settled.” *Robinson*, 335 S.W.3d. at 142-43, 147, 149. And there can be no doubt that the right to lease is well-settled; it has been around since the 1800s. State Br. 19-20 (collecting cases). Rather than dispute this fact, the City focuses on its licensing scheme, arguing that individuals “have no entitlement to operate their residential properties as short-term rentals.” Br. 50. But as explained previously, this confuses the issue. *See supra* at 6-7. The claim is not that property owners have a settled property interest in a license; rather, they have a settled property interest in their long-standing right to engage in short-term leasing. The City cannot use its licensing scheme as an offensive weapon for eliminating an underlying right.

B. There is no valid taking because the Ordinance does not serve a public interest.

1. In its opening brief, the State detailed how the Ordinance constitutes a regulatory taking: it severely harms Austin property owners and disrupts reasonable investment-backed expectations. *See* State Br. 31-34. The fact is, Austinites purchased their properties against the background of an established practice of short-term leasing, and thus had an “expectation” that they would be able to lease their property

⁵ The City does not dispute that the Ordinance is retroactive—it disputes only whether the law is *unconstitutionally* retroactive—and therefore forfeits any argument to the contrary. *D.R. Horton-Tex., Ltd. v. Markel Int’l Ins. Co.*, 300 S.W.3d 740, 743 (Tex. 2009); *see also* State Br. 27-29 (discussing why Ordinance is retroactive). The argument was also forfeited below.

short-term. *See Hearts Bluff Game Ranch, Inc. v. State*, 381 S.W.3d 468, 491 (Tex. 2012) (“existing and permitted” uses of property “constitute the ‘primary expectation’” of the landowner). When the City disrupted this expectation with the Ordinance, it significantly harmed property owners, who will lose significant profits and value in their homes. *See Sheffield Dev. Co. v. City of Glenn Heights*, 140 S.W.3d 660, 677 (Tex. 2004) (noting that “lost profits are clearly one relevant factor to consider in assessing the value of [the] property and the severity of the economic impact . . . on a landowner”).

In response, the City argues that property owners have not, in fact, “suffered economic harm.” Br. 53. Most of these arguments fail for the same reason that they do not support the City’s ripeness argument—namely, property owners suffered immediate harm when the Ordinance was enacted. *See supra* at 7-8. But to the extent that the City is arguing that the amortization doctrine precludes the finding of a taking, the City is wrong for a different reason: the Ordinance does not provide property owners with sufficient time and opportunity “to recover [their] investment[s].” *Eller Media Co. v. City of Houston*, 101 S.W.3d 668, 683 (Tex. App.—Houston [1st Dist.] 2003, pet. denied). To be sure, there may be some investors that may recover part or all of their investments, but many will be unable to do so because they made larger, long-term investment decisions such as extensive landscaping and remodeling, because rising property taxes make recovery substantially slower, or both. *See State Br. 40-41* (citing 5.CR.1096-97; 5.CR.1106; 5.CR.988; 5.CR.991-92).

In any event, the amortization doctrine is inconsistent with the federal Constitution to the extent that it would allow the City to avoid a taking. *See State Br. 41-43.*

2. Because the Ordinance constitutes a taking, it must be justified by a bona fide *public* purpose. Tex. Const. art. I, § 17; *Maheer v. Lasater*, 354 S.W.2d 923, 924 (1962). The mere recitation of a public purpose will not suffice if the “true intended use is a private use.” *Whittington v. City of Austin*, 174 S.W.3d 889, 896-97 (Tex. App.—Austin 2005, pet. denied). Yet that is all that the City has—a recitation of a public purpose that cannot hold up against the record. The City produced evidence only of public interest “concerns” that turned out to be misplaced given the City’s own records and study demonstrating that short-term rentals receive fewer complaints than their residential neighbors, including long-term renters and owners. *See supra* at 10-13.

The true purpose of the Ordinance is to transfer value to private entities, such as hotels (by removing their competition) and neighbors (who are concerned about rising property values leading to changing neighborhoods). *See* State Br. 38-39 (citing record of testimony supporting the Ordinance in order to stabilize home values). This intent to provide a private benefit through a regulatory taking is invalid, and requires that this Court enjoin the Ordinance. *See Lone Star Gas Co. v. City of Fort Worth*, 98 S.W.2d 799, 801 (Tex. 1936) (“It is universally recognized that an attempt, or threatened attempt, to take private property for public use by virtue of eminent domain may be restrained by injunction when the proceeding is for any reason void.”).

IV. The Trial Court Erroneously Excluded Competent Summary Judgment Evidence.

1. The City begins its defense of the trial court’s erroneous decision to exclude numerous relevant declarations by incorrectly stating that “Texas hardly attempts to even argue that it timely disclosed” the declarants. Br. 53. In fact, the State spent more than a page detailing the relevant timeline to demonstrate that it timely disclosed its evidence to the City. *See* State Br. 43-44. The State described how, in response to the City’s request for disclosure, it provided the City with the best information it had at the time, stating that it would rely on “individuals who currently hold, or were previously granted, Short-Term Rental (STR) permits.” State Br. 44 (citing 5.CR.1608). And when it identified those individuals, it filed a supplemental disclosure to inform the City. State Br. 44; 5.CR.1613. The City fails to say how, in light of these circumstances, the disclosure was untimely. That is because it was timely—or, at least, there was “good cause” for any untimeliness, *see* Tex. R. Civ. P. 193.6(a)—and the trial court abused its discretion in finding otherwise. *See Van Heerden v. Van Heerden*, 321 S.W.3d 869, 879 (Tex. App.—Houston [14th Dist.] 2010, no pet.).

The City also fails to engage with the State’s showing that, even if the evidence were considered undisclosed, it should have been admitted because there would not have been any “unfair[] surprise or unfair[] prejudice.” Tex. R. Civ. P. 193.6(a). The State demonstrated that there was no unfair surprise because the names of the persons submitting declarations were already known to the City as licensees, and there was no unfair prejudice (if there was even any prejudice at all) because the City was

free to speak to the declarants—and could even have deposed them upon request. *See* State Br. 46. By contrast, the City fails to provide *any* argument whatsoever that it was unfairly surprised and prejudiced—perhaps because any argument would be facially implausible.⁶

Instead, the City argues that this Court should affirm the district court’s exclusion of evidence because the State did not cite a case “in which courts have allowed a party to rely upon testimony of an undisclosed witness” and because the State did not offer an affidavit. Br. 54. These are red herrings. No case citation is needed to establish that trial courts should admit testimony of an undisclosed witness when there is no unfair surprise or prejudice—the plain language of the Texas Rule of Civil Procedure 193.6(a) already establishes that proposition. And, in any event, the State *did* cite a case in which the court of appeals found that a trial court abused its discretion when it excluded testimony as untimely disclosed. State Br. 45 (citing *State v. Target Corp.*, 194 S.W.3d 46, 48-51 (Tex. App.—Waco 2006, no pet.)). If anything needs a case citation, it is the City’s unsupported assertion that the State needed to produce an affidavit to establish good cause or lack of unfair surprise or prejudice (Br. 54). The State cannot locate this requirement in the rules or any case, and requiring an affidavit would serve no function here, where the City has not disputed the State’s recounting of the timeline.

⁶ The City’s brief in response was the City’s only opportunity to describe how the disclosure was untimely given the circumstances, and how it would have been prejudiced if the evidence would have been admitted. *See* Second Joint Motion to Extend Time to File Opening Briefs; Motion to Modify Briefing Schedule (Mar. 19, 2018) (stating that City’s second brief, to be filed on or before June 13, 2018, is limited to “cross-appeal issues”); Order (Mar. 22, 2018) (granting Mar. 19, 2018 joint motion).

2. The City also argues that the declarations were correctly excluded as irrelevant because they are from short-term rental owners who, “[u]nlike” the “seven plaintiffs in this case,” “operated short-term rental properties prior to the City zoning regulations at issue.” Br. 54. At most, however, this establishes that the declarations are irrelevant to the *individual plaintiffs*’ claims. The declarations remain relevant to the State’s claims, although, as explained in the State’s opening brief, they are “not strictly necessary for the Court to see the basic picture of unconstitutionality” and reverse. State Br. 46.

PRAYER

The Court should reverse the judgment below and remand to the trial court with instructions that it enter judgment in favor of the State of Texas and afford the State appropriate relief.

Respectfully submitted.

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CERTIFICATE OF SERVICE

On May 30, 2018, this document was served electronically on Robert Henneke and Michael Siegel, lead counsel respectively for Plaintiffs-Appellants and the Defendants-Appellees, via rhenneke@texaspolicy.com and Michael.Siegel@austintexas.gov.

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CERTIFICATE OF COMPLIANCE

Microsoft Word reports that this brief contains 5,684 words, excluding the portions of the brief exempted by Rule 9.4(i)(1).

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